1951

F
FAR EASTERN DEPARTMENT

JAPAN

FJ 166

1022 /80

FROM Mr. Clutton
UKLIM TOKYO
TO
Mr Johnston.

No. 119/66/51
Dated 13th Feb
Received in Registry— 17th Feb.

JAPANESE PEACE TREATY

Chinese difficulty in its consequences more than in itself.

REFERENCES
FJ1022/79.

(Print)

(How disposed of)

(Action completed) 44

(Index) 21/2/51

MINUTES

The dangers which might arise if Nationalist China were to sign a Peace Treaty with Japan and enter into diplomatic relations with her are the burden ~~contents~~ of Mr. Clutton's letter. Washington (Washington telegram No. 449 of February 13th, FJ 1 022/75), however, does not yet assume, as this letter does, that the "U.S. will insist on some Nationalist Chinese association with the signature (of the Peace Treaty)". Washington appear to consider that it may be possible to induce the U.S. Government to agree to exclude the Nationalists if we can agree to exclude the Communists.

If therefore Chinese participation in a Japanaese Peace Treaty can be avoided until she satisfies the conditions to be set out in a special accession clause, it would seem that the immediate dangers envisaged in this letter might be postponed if not avoided.

As regards the attitude of Communist China (Paragraphs 4 and 5) to (a) an early Peace Treaty from which they may be excluded and (b) towards an "island chain" Pacific Pact, recent Chinese propaganda and reports from Peking seem to make it clear that the Central People's Government would denounce ~~us/both~~ and treaties as hostile to themselves. It seems to me certain that in fact, if not in language, they would be hostile to Communist China and it would be difficult to disguise this. We should however be grateful for China Department's views on these paragraphs.

(C.P. Scott)
20th February, 1951.

China Dept.

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/Mr. Clutton's

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Mr. Clutton's letter makes some very good points and the Americans are almost certain to continue to build up the Chinese Nationalists in Formosa, who probably have not abandoned their hopes of staging a come-back on the Chinese mainland. But at the same time Mr. Clutton's letter perhaps does not take sufficiently into account what the Secretary of State has referred to as Communist global strategy. Surely what we are dealing with is not a mere "China difficulty" but Sino-Soviet strategy in the Far East, almost certainly in its turn geared to Communist global strategy.

2. Sino-Soviet tactics towards Japan in many respects run parallel to Soviet tactics towards Germany and particularly to the European industrial base of the Ruhr. In both cases the Communist tactics have been to accuse the Americans and Western powers of rearming and building up the territories in question as anti-Communist bases in pursuit of "warmongering" policies. The Communist bloc attitude towards any Japanese peace treaty or settlement will almost certainly follow similar lines to their attitude to the German settlement.

3. Behind this propaganda barrage backed with demands for "neutralisation" and for the withdrawal of the "imperialist" occupation troops, etc., the process of infiltration and of the creation of conditions facilitating the ultimate objective of Communist regimes will continue. To assume that Sino Soviet policy in the Far East is the result of genuine fear of American aggression in alliance with local Fascist and satellite regimes, Japanese imperialists, Chinese nationalists, Siamese stooges, etc., really boils down to putting the cart before the horse and accepting a completely bogus Communist propaganda line. The initiative rests primarily with the Sino-Soviet bloc and the Americans have the choice either of clearing out of Japan and seeing it absorbed into the Communist bloc or of taking steps to prevent a Communist takeover in Japan, whether by frontal attack or by internal political subversion. Sino-Soviet policy in fact compels the Americans to build up bases both in Japan and Formosa and whether the Nationalists are associated with the Japanese peace treaty or not, a close military link between the Americans, Japanese and the Chinese nationalists is quite inevitable as long as the Sino-Soviet bloc pursues a dynamic anti-American and anti-Western (as I see it) policy in the Far East. It would be unreal to imagine that we can get out of this admittedly vicious and dangerous circle by associating Communist China with the Japanese peace treaty, by neutralising Japan and/or clearing out of Japan and by liquidating the nationalists in Formosa. None of this would lead Communist China to abandon her objectives and could only mean that she had been brought that much nearer to her ultimate goal of the elimination of Western influence in the Far East. The deadlock can probably only be broken if China gets to realise that the Soviet alliance does not serve her interests and this can only be achieved if positions of strength are established. Concessions to China would almost certainly merely increase her appetite — already formidable.

A.A.E. Franklin
(A.A.E. Franklin)
2nd March, 1951

19

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Mr Hood

19

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I do not see that America will necessarily insist on "Some Chinese Nationalist association with the Signature [of the Peace Treaty]." If we make our view abundantly clear that neither the Communists nor the Nationalists should sign, in which we would probably be supported by the C'wealth, France, & Holland, then the Americans could scarcely presume to insist.

2. Ho Ying Chin's remarks, as quoted by Mr Clutton, are borne out by what Han Li Wu told ~~Mr~~ R.H. Scott the other day. There is no doubt that the Kuomintang in Formosa are getting more sure of themselves and going about a counter-revolution on the mainland in quite a big way. The Peking Govt. are of course fully aware of KMT activities & have shown their awareness & apprehension by the recent regulations promulgated under Mao Tse Tung's signature impose the death penalty for counter-revolutionary & anti-state activities.

3. The only way in which Peking can get control of Formosa & so put a stop to KMT activities directed from there is either by an invasion or by negotiation as part of a general settlement of Far East problems. Neither is likely to meet with any success as far as I can see.

10/3

I agree.

J.S.H. Shattock.
12/3/51.

Japan and Pacific Deptt.

NOTHING TO BE WRITTEN IN THIS MARGIN.

(36164) Wt. 8841-208 200m 8/50 G.S.St.

NOTHING TO BE WRITTEN IN THIS MARGIN.

(38164) Wt. 8841-309 300m 5/50 G.S.St.

168

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Minutes.

We have given full weight to the consideration that the importance of Japan's economic relations with China may make her anxious not to prejudice her future relations with the Central People's Government. But I suppose it is possible that this factor may operate the opposite way, i.e. that Japan may find it a more promising method of reopening her relations with China to back the other horse, namely, the Nationalists, and come in with them on an eventual reconquest of the Chinese mainland.

C.H. Johnston

(C.H. Johnston)
20th March, 1951.

Mr. R.H. Scott

This is an interesting point & we should keep it in mind. But I doubt whether it will be very useful as ammunition with the Americans.

B.U. when Sir E. Dening returns.

RHS.
21/3.

Mr. C.P. Scott 21/3

B.U. 10.4.51.

Sir E. Dening

CHJ. 21/3.
13.iv.

I agree that the Central People's Govt will dislike whatever we do. The main object of the exercise should be to avoid giving them a propaganda weapon if we can do so.

I am not so sure that the Japanese, left to themselves, will be so keen to commit themselves to the Nationalist Govt, though they might succumb to American pressure. Their natural instincts would be to play the hand with caution until they could see how it might work to their advantage. They would be unlikely to believe that Formosa contains the elements of a successful counter-revolution, for they know too much about Chiang Kai-shek and his forces.

E. 16/4

CHJ.
21-iii.

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China and Korea Dept.

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821

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Ref.119/66/51. United Kingdom Liaison Mission
in Japan,
British Embassy,
Tokyo.

SECRET. FJ 1022/80 13 h February, 1951.

170

Dear Charles,

There is one aspect of the Japanese Peace Treaty problem which causes me considerable anxiety, viz. the Chinese difficulty in its consequences more than in itself.

In so far as it relates to the actual signature of the Treaty, the Chinese difficulty does not seem to me so much a danger as a first-class conundrum. Doubtless some way round will be found to solve the dilemma of the conflicting views of the United Kingdom and the United States as to who should sign or should be asked to sign. Whatever the solution, it seems to me pretty certain that the United States will insist on some nationalist Chinese association with the signature and presumably thereafter the Chinese nationalists will expect to have diplomatic relations with Japan. The temptation offered by the presence of a Chinese Diplomatic Mission in Japan to certain Japanese will be very great and these persons will certainly begin dreaming of an alliance with Nationalist China which will enable Japan to re-establish her position in some form or other in China. The tempting prospect has already been dangled before their eyes by General Ho Ying Chin, the former Nationalist Prime Minister who is now visiting this country, in a speech to the Sino-Japanese Economic Society when he called for Japanese technical assistance to China. In order to emphasize that he was not offering something which he did not or would not shortly possess, the General declared that there were 700,000 army, navy and air force personnel in Formosa who could carry out a counter offensive against the Chinese mainland at any time. In addition there were over a million pro-nationalist guerillas active on the mainland.

I am quite certain that at present the Americans in no way visualize a complete severance between Japan and the mainland of China. Indeed you will see from my letter No.119/65/51 of the 12 February that Dulles seemed to accept Sino-Japanese trade as a matter of common sense. But this may not always be so.

It is indeed easy to see a most dangerous situation developing in post treaty Japan unless the Japanese Government put a strong curb on some

/of

Charles H.Johnston, Esq.,
Japan & Pacific Department,
Foreign Office,
London, S.W.1.

[illegible]

[illegible]

[illegible] FJ 1021 [illegible]

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of the Japanese extremists and the United States back them up in their efforts. Were the situation to get out of hand, the Peking Government would in fact have some grounds for the allegation they are already making that the United States Government's motive in pressing forward a treaty is nothing short of creating in Japan a hostile base against themselves.

If, however, the peace treaty is accompanied by some species of Pacific Pact, the situation might be still worse. The pact itself must inevitably have to some extent an anti-Chinese flavour, more especially if Indonesia refuses to join, as seems more than likely, and the United Kingdom is excluded. Moreover, if Australian and New Zealand security is to be guaranteed in the form of such a pact, it is not unreasonable to believe that the United States will bring pressure on its component members to vote together when Pacific and Asian affairs are discussed in the United Nations, with the result that the Latin American claque, together with the Pacific pact powers (i.e. Australia, New Zealand and the Philippines,) will always give them that one-third plus one majority which is all that is required in the Assembly to block any resolution. I do not for a moment pretend that in advocating the Pacific pact the Americans have anything so machiavellian in mind, but once concluded, they will regard this corollary as something perfectly natural and reasonable.

I am sending copies of this letter to Graves at Washington and Hutchison at Peking.

Yours ever

George Clutton

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